

Ares Management: The Differentiators

Nine things that genuinely set this firm apart — none of which appear on the careers page, and most of which require reading a 10-K footnote, an earnings transcript or a 2020 press release to find.

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- 01 The AI paradox: the lender the market punished for AI, that owns an AI venture firm
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Primary sources: Ares FY2025 Form 10-K and FY2026 proxy (SEC EDGAR, CIK 1176948) · Q1 and Q2 2026 earnings calls · 2025 Annual Shareholder Letter · ARCC prospectus supplements · BofA conference remarks · contemporaneous trade press. Conflicts and single-sourced claims are flagged in place.

Compiled 9 October 2026. Ares reports Q3 2026 on 29 October — check it before you interview.

How to use this

Your first report explained what Ares is. This one answers a narrower question: **what could you say that nobody else in the process will?**

Everything here passes a specific test — **it cannot be found on the Ares website, in a press summary, or in the first page of a Google search.** Each item comes from a filing footnote, an earnings transcript, or a document from years ago that nobody connects to the present.

You do not need all nine. Two, deployed well, will do more than nine listed. Part 10 ranks them and tells you which to lead with.

DIFFERENTIATOR 01

The AI paradox

The most current, least-known and most useful thing about Ares right now.

In 2026 Ares became the alternative manager the market punished hardest for artificial intelligence. The reason is not what you would guess, the firm's response was unusually rigorous, and almost no candidate interviewing this cycle will know any of it.

1.1 What happened to the share price

Ares shares fell roughly **32% in the first quarter of 2026** and were down about **22% year-to-date** by September, having at one point fallen **46% from their peak**. In one week in early February the stock dropped over 12%, while Blue Owl fell over 8%.

The cause was not credit losses, redemptions, or fundraising. It was a thesis: **Ares lends to software companies, and AI might destroy software companies.** If an AI model can replicate what a mid-sized software vendor sells, that vendor's revenue — and its ability to service an Ares loan — disappears.

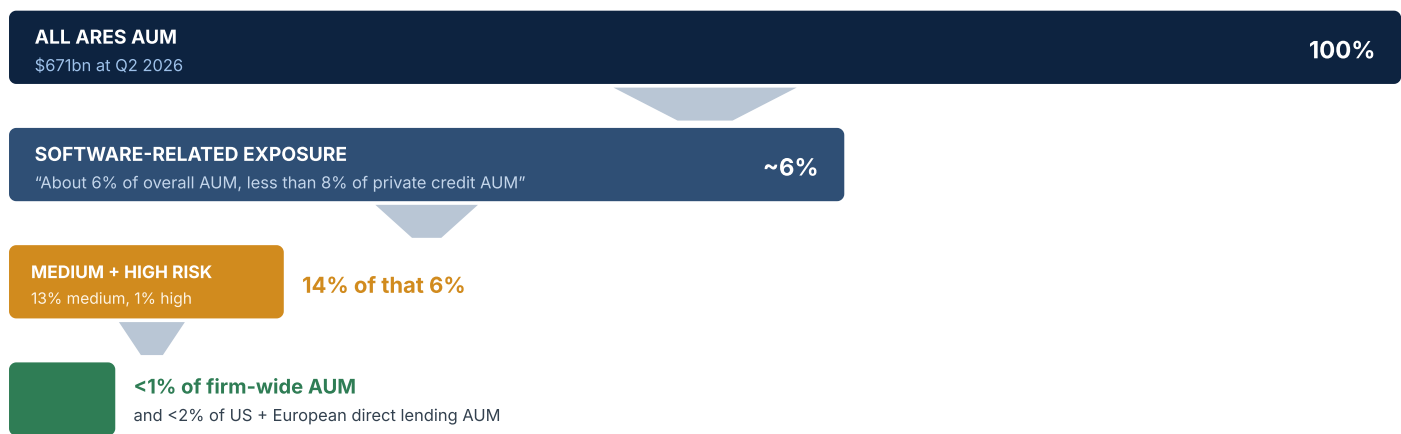
EDGE · THE DETAIL THAT WINS THE CONVERSATION

Ares hired one of the three largest global management consultancies to run a nine-week review of AI disruption risk across its software-oriented portfolio. Not a slide. A nine-week, name-brand diligence exercise on its own loan book.

The published findings: **86% of the software portfolio was assessed low risk, 13% medium, 1% high.**

Management's translation of that — the sentence to remember — is that medium-to-high risk exposure is **under 2% of US and European direct lending AUM, and under 1% of firm-wide AUM.** *Ares Q1 2026 earnings call, 1 May 2026.*

How a scary headline narrows to a small number — follow the funnel



Source: Ares Q1 2026 earnings call, 1 May 2026, and the nine-week third-party consultant review cited on it. Percentages are management's own characterisation.

The funnel is the argument. A headline about "AI killing private credit" becomes, on inspection, under one percent of the firm. Being able to walk an interviewer down that funnel is a complete demonstration of commercial judgement.

1.2 The evidence from the market itself

The strongest part of Ares' case is not its own opinion — it is that the traded loan market has already separated the two kinds of software. Management pointed to the split on the Q1 call:

Core operational software

Finance systems, cybersecurity, order management — software embedded in how a regulated business runs. Traded loans in this basket were down about **2% year-to-date**.

Content, analytics, productivity software

Single-function tools, content creation, data visualisation — the things a general model can plausibly replace. These loans were down about **24%** and **trading below 65 cents**.

Ares says it underwrites toward the first basket: enterprise software with "two-sided networks, proprietary data moats, and mission-critical systems." The software book carries roughly **40% loan-to-value**, about **10% EBITDA growth**, and a weighted average remaining maturity of about **three years**. It has also been exiting selected names where conviction was lower.

1.3 The paradox: Ares is also an AI investor and an AI user

EDGE · NOBODY WILL KNOW THIS

On **1 February 2024**, Ares acquired **BootstrapLabs**, a Silicon Valley venture firm that invests *exclusively* in early-stage applied artificial intelligence, with 30+ AI-first portfolio companies. BootstrapLabs became the foundation of the **Ares AI & Innovation Group**; its founders, Nicolai Wadstrom and Benjamin Levy, were made Partners and Co-Heads of Ares' Venture Capital and AI & Innovation Groups.

The FY2025 10-K confirms it obliquely, listing among Other Businesses "a venture capital business with fund strategies that are focused on growth-stage companies and **applied artificial intelligence**." Almost nobody reads that line, and nobody connects it to a 2024 acquisition.

So Ares occupies three positions on AI simultaneously — and the ability to name all three is the most sophisticated thing you could say about the firm this autumn:

Three positions on AI, held at the same time

1. EXPOSED TO IT

As a lender to software companies that AI might disrupt.

~6% of AUM

Re-underwritten by a top-three consultancy

2. INVESTING IN IT

Bought BootstrapLabs in Feb 2024 — now the Ares AI & Innovation Group.

30+ AI companies

A venture arm inside a credit firm

3. USING IT

~160 use cases evaluated,
~25 deployed across front, middle and back office.

Incl. sales optimisation

NDA review, AML/KYC, Salesforce for wealth sales

Why position 3 matters to you specifically: one of the deployed use cases is Salesforce optimisation for the wealth sales team. AI is being pointed at the distribution function you are applying to join. The CEO also noted 2025 had the **slowest organic headcount growth in over a decade**.

SAY THIS

"The thing I find most interesting about Ares right now is that it's been treated as an AI loser while quietly being an AI owner. The stock fell about a third in Q1 on the thesis that AI breaks software borrowers. But Ares brought in a top-three consultancy for a nine-week review of that book, and the finding was eighty-six percent low risk — medium-to-high ends up under one percent of firm-wide AUM. And the same firm bought BootstrapLabs, an applied-AI venture manager, back in 2024, which is now the AI and Innovation Group. So it's lending to software, investing in AI, and deploying about twenty-five internal AI use cases — including Salesforce optimisation for the wealth sales team. I'd rather join a firm that re-underwrote its own thesis than one that issued a press release."

CAREFUL · THE NUMBERS CONFLICT, SO QUOTE THE RIGHT ONE

Different sources give different software percentages because they use different denominators. The Q1 2026 earnings call — the most authoritative — says **about 6% of overall AUM and less than 8% of private credit AUM**. In February the CEO was reported as saying software was about 12% of the *direct lending book*, and CNBC cited "less than 9% of private credit AUM". These are not contradictory, but if you quote a number, **say which denominator you mean**. The consultant split is also reported as 86/13/1 on the call and 85/14/1 in some secondary coverage.

DIFFERENTIATOR 02

Ivy Hill: the asset manager hidden inside a fund

A structure so unusual it required an SEC exemption to exist.

Buried in the Ares glossary is a sentence most readers skim past. "Our funds" includes "funds managed by **Ivy Hill Asset Management, L.P.**, a wholly owned portfolio company of **Ares Capital Corporation (NASDAQ: ARCC)** and an SEC-registered investment adviser."

Read that slowly, because it describes a Russian doll:

ARES MANAGEMENT

manages, and earns a fee from...

ARES CAPITAL CORPORATION (ARCC)

a listed BDC, \$35.9bn AUM — which wholly owns...

IVY HILL ASSET MANAGEMENT

an SEC-registered investment adviser running 24 vehicles, \$16.3bn AUM

So: Ares manages a fund, that fund owns an asset manager, and that asset manager manages further funds — whose AUM rolls back up into the \$671bn headline. ARCC's stake in Ivy Hill was carried at roughly **\$2.8bn fair value against \$2.6bn cost** at 30 June 2026.

EDGE · WHY THIS COULD NOT NORMALLY EXIST

A business development company is a regulated investment vehicle. It is not supposed to own operating businesses outright, still less a registered investment adviser. **ARCC obtained specific exemptive relief from the SEC in 2012** permitting it, subject to conditions, to own up to 100% of Ivy Hill's equity.

Ivy Hill has compounded quietly ever since: **\$11.0bn of AUM in June 2022, \$13.2bn in September 2024, \$16.3bn by June 2026** across 24 vehicles. It is larger than Ares' entire Private Equity Group (\$25.3bn) is... well, nearly two-thirds of it — and virtually nobody outside the firm can tell you it exists.

Why it is worth raising in an interview. It demonstrates something real about how Ares builds: rather than launching a new fund family and marketing it, Ares let a capability compound inside a vehicle it already controlled, under an exemption it had secured a decade earlier. That is a patient, structural way to grow fee streams — and it is the opposite of the "raise a bigger fund every three years" model.

The alignment numbers

Ares' employees commit more of their own money to Ares funds than Ares itself does.

Every firm claims alignment. Ares publishes a number that proves it, and the proportions are genuinely unusual.

\$7.2bn TOTAL COMMITTED By Ares and its employees into Ares-managed vehicles, at 31 Dec 2025.	\$3.4bn FROM ARES ITSELF The firm's own balance-sheet commitments.	\$3.6bn FROM EMPLOYEE VEHICLES More than the firm commits. Via employee co-investment vehicles.	37.13% EMPLOYEE OWNERSHIP Of all outstanding shares, fully exchanged — employees own over a third of the company.
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EDGE · THE COMPARISON TO MAKE

Ares employees have **\$3.6bn** of their own capital in Ares funds — **\$200m more than the firm's own \$3.4bn of commitments**. Add \$0.2bn of direct employee holdings in the listed and perpetual wealth vehicles and staff are personally exposed to **\$3.8bn** of the products they sell and manage. The proxy reinforces the design: Ares "generally expect[s] that our professionals who hold such participation rights in Ares funds **invest their own capital in such funds,**" because it "discourages excessive risk-taking." *FY2025 10-K; FY2026 proxy statement.*

For a client-facing role this is not trivia — it is **a selling point you will actually use**. When an investor asks why they should trust the manager's judgement, "the people underwriting this have three point six billion dollars of their own money in these funds" is a materially stronger answer than a track record chart.

3.1 The ownership structure, and the word "controlled"

HOLDER	ECONOMIC STAKE	WHAT IT MEANS
Public shareholders	62.44%	The float. Owns most of the economics.
Ares Owners Holdings L.P.	32.54%	The founders and senior partners, via Ares Operating Group units.
SMBC	5.02%	Sumitomo Mitsui Banking Corporation — a strategic holder, not a financial one. See Differentiator 04.

Assuming full exchange of AOG Units and conversion of Series B mandatory convertible preferred stock, at 31 December 2025. Source: FY2025 Form 10-K.

Voting is separate from economics. Ares has **Class A, Class B and Class C common stock** plus non-voting stock held solely by SMBC. Class B, held by Ares Management GP LLC, carries **four times the aggregate votes of all Class A stock** while an ownership condition is met. The consequence, stated plainly in the 10-K: Ares is a **"controlled company" under NYSE governance standards and qualifies for exemptions from certain corporate governance rules.**

CAREFUL · PRESENT THIS AS A TRADE-OFF, NOT A FLAW

The 10-K lists it among the risk factors — "we are subject to risks related to our categorization as a 'controlled company'." Do not pretend it is purely positive. The honest framing, which is also the more impressive one: **founder control lets Ares make decade-long bets like Ivy Hill, Aspida and the Japan strategy without quarterly pressure, at the cost of reduced minority shareholder influence.** Naming both sides shows judgement.

The Japan arc: a 2020 press release that explains 2026

The single best "I did real research" story available to you.

In March 2020, as markets were collapsing, Ares sold 4.9% of itself to a Japanese bank. Almost nobody connects that transaction to what Ares is doing today. The line from one to the other is six years long and completely traceable in public documents.



THE POINT

Ares did not enter Japan in 2025 by buying GCP. It bought a Japanese *distribution relationship* in 2020, spent five years using it, then bought the Japanese *product* to sell through it. The bank that owns 5% of the firm is the channel. That is a distribution-led strategy, not an investment-led one.

Sources: Ares/SMBC announcement, 30 March 2020; Investor Rights Agreement dated 31 March 2020 (10-K exhibit 10.29); FY2025 10-K; 2025 Annual Shareholder Letter. SMBC's entry price of \$31.64 compares with roughly \$137 in August 2026 — a return of over four times, before dividends. Verify the current price before quoting it.

SAY THIS

"Something I only noticed by reading backwards: SMBC's five percent stake isn't a passive investment, it's a distribution alliance signed in March 2020 covering marketing Ares products to Japanese clients. Five years later Ares buys GCP, which brings a Japanese industrial platform, and then one of the seven stated priorities for 2026 is expanding wealth products for Japanese individual investors. So the 2020 shareholder, the 2025 acquisition and the 2026 priority are the same strategy. It's a good illustration of something I like about Ares — distribution tends to come first, and the product gets built or bought to fit it."

Note: the SMBC share-price comparison is mine, not Ares'. ARES traded around \$137 in August 2026 against SMBC's \$31.64 entry; the stock has been volatile in 2026, so check the live price before using the multiple in conversation.

The redemption maths

One sentence from the Q1 call that defuses the entire private-credit panic.

Every commentator in 2026 has written about investors pulling money out of non-traded credit funds. Ares has been part of that story — its non-traded BDC, ASIF, pro-rated two consecutive quarterly tenders, with requests of 11.6% and then 14.4% against a 5% cap.

What nobody quotes is management's own arithmetic on what sustained redemptions would actually cost the firm.

EDGE · THE NUMBER THAT REFRAMES THE PANIC

On the Q1 2026 call, management stated that **sustained redemptions at the full 5% quarterly cap, for an entire year, with no new inflows at all, would reduce fee-paying AUM by approximately 1% annually**. They also noted the two US private credit wealth products represent about **4.5% of fee-paying AUM**, and that **over 95% of non-traded BDC investors did not request redemptions**.

The worst realistic case, drawn to scale against fee-paying AUM

TOTAL FEE-PAYING AUM — \$410bn

100%

The two US private credit wealth products

about 4.5% of fee-paying AUM — the entire exposed surface

Worst case: 5% cap hit every quarter for a year, zero inflows

approximately 1% of fee-paying AUM — against firm-wide FPAUM growth of 17% year on year

The comparison that lands: Ares grew fee-paying AUM 17% year on year. The maximum sustained redemption drag is about 1%.

Source: Ares Q1 2026 earnings call, 1 May 2026; Q2 2026 earnings release. Management's own scenario, not an independent projection.

This is the most useful single fact in this report for a client-facing role, because it is exactly the objection you would be handed. A wealth platform or a family office reads a Bloomberg headline about Ares capping withdrawals and asks what it means. The weak answer is reassurance. The strong answer is to size it.

CAREFUL

This is **management's own scenario**, disclosed on an earnings call, not an audited or independent figure — and it assumes no inflows, which also means it ignores the possibility of redemptions exceeding the cap being deferred into later quarters. Attribute it ("management's own stress case was...") rather than stating it as fact. And do not use it to dismiss the redemptions: they were real, two tenders were pro-rated, and roughly half the Q2 requests came from small non-US institutions and family offices that are under 1% of ASIF's 20,000+ shareholders.

Where Ares actually takes losses

The Lyon loan-to-own — a live, messy, instructive credit story.

Every candidate will praise Ares' sports investments: Chelsea, Inter Miami, the Miami Dolphins, Atlético de Madrid, McLaren, a SailGP team backed by Kylian Mbappé. Ares exited McLaren at a valuation around \$5bn and divested the majority of its Atlético stake at roughly €2.5bn including debt. Those are the wins, and they are on every blog.

Nobody will mention the one that went wrong.

Eagle Football and Olympique Lyonnais

Ares lent in the region of €400–425m to John Textor's Eagle Football vehicle, principally to fund the 2022 acquisition of the French club Olympique Lyonnais. The structure is reported as mezzanine with payment-in-kind interest — debt where interest accrues onto the balance rather than being paid in cash.

When the borrower deteriorated, Ares moved. Reporting indicates Ares issued a payment demand of around €250m, Textor was removed from the Eagle Football Holdings board in late January 2026, the holding company entered administration, and the controlling stake in Lyon was sold. Proceeds from the sale of Textor's Crystal Palace stake — reported at roughly £190m — are said to have flowed substantially to Ares, with recoveries put at around €175m. Litigation between the parties is ongoing.

What it demonstrates: Ares behaves like a *lender*, not a sports fan. It took security, enforced it, removed the principal and forced a sale. That is exactly what the 10-K describes as the direct lending philosophy — being "lead or sole lender" so as to "exert greater influence over deal terms, capital structure, documentation."

CAREFUL · SOURCING ON THIS ONE IS WEAKER

This story comes from football and financial trade press, club statements and analysis blogs rather than Ares disclosure, and the figures conflict — the loan is variously €400m or €425m, the demand €250m or \$250m, and the "loan-to-own" characterisation is commentary rather than reporting. **Raise it as something you read about and found instructive, not as established fact**, and do not assert a loss figure. The judgement being displayed is that you went looking for the uncomfortable case, not that you memorised it.

SAY THIS — ONLY IF THE CONVERSATION EARNS IT

"I tried to find a case where it hadn't worked, because everyone can list the sports wins. The Eagle Football situation is interesting — Ares lent several hundred million against Lyon, and when the borrower deteriorated it enforced: payment demand, the owner removed from the board, the stake sold. It's been messy and it's still in litigation. But it told me something the marketing doesn't, which is that the sports business is a credit business. Ares took security and used it."

The firm with no central investment committee

A deliberate governance choice, stated in one sentence and almost never noticed.

EDGE · THE SENTENCE

"**We do not have a centralized investment committee** and instead our investment committees are generally structured with **overlapping membership from different investment groups** to ensure consistency of approach, shared investment experience and collaboration across our platform." *Ares FY2025 Form 10-K, Item 1.*

Most large managers run the opposite model: a central committee that ultimately approves material investments, which enforces consistency through a single bottleneck. Ares enforces consistency through **deliberate overlap** — the same senior people sit on multiple groups' committees, so a real estate decision is pressure-tested by someone who underwrites credit.

Three supporting facts that make this real rather than rhetorical:

- Senior professionals "have the opportunity to **participate in the incentive programs of multiple investment groups** to reward collaboration" — the economics follow the structure.
- Proprietary research on **over 55 industries**, drawing on 2,150+ companies, 1,900+ alternative credit investments, 1,300+ properties, 90+ infrastructure assets and 1,000+ fund interests — a shared intelligence base rather than siloed ones.
- Governance runs through an **Operating Committee** (investment and business operations leadership, meeting regularly) and a **Partners Committee** (senior leadership across the firm, meeting periodically on fundraising, performance and strategy).

Why this matters for your role specifically. Your function is horizontal — it sits across all four investment groups rather than inside one. A firm with a centralised committee has a centralised gatekeeper you would learn to navigate. A firm with overlapping committees has **many relationships you must build in parallel**. The structure of the investment side determines the shape of your internal stakeholder problem, and almost no candidate will have thought about the link.

DIFFERENTIATOR 08

Fee structures strange enough to be revealing

Four disclosures that tell you what Ares is really optimising for.

THE ODDITY	WHAT THE FILING SAYS	WHAT IT REVEALS
Expense support agreements	Ares "may advance a portion of certain expenses to support distribution efforts " to perpetual wealth vehicles. These are reimbursable, and "may result in a reduction to our Part I Fees until expenses have been recovered."	Ares funds its own distribution out of its own fee income. It subsidises the cost of building the wealth channel and gets paid back later. That is a firm investing ahead of revenue in the exact function you are applying to.
The J-REIT fee	Three components: 0.18% of total assets, plus 3.50% of net operating income, plus the sum of those two multiplied by 0.033% multiplied by earnings per outstanding investment unit.	A fee that scales with operating performance and per-unit earnings , not just asset size. Ares is paid for running the buildings well, not merely holding them.
7.50% of net operating income	"Certain real estate funds pay a management fee of 7.50% of net operating income. " Ares then presents an effective rate as a percentage of gross asset value.	Same logic. In a vertically integrated platform — Marq Logistics, Ada Infrastructure — Ares is increasingly paid as an operator rather than an allocator.
1031 exchange programs	Two non-traded REITs charge fees on "NAV plus net capital raised and outstanding from our 1031 exchange programs. "	See below — this is the most interesting of the four.

EDGE · THE ARES REAL ESTATE EXCHANGE

A Section 1031 "like-kind exchange" lets a US property owner sell a building and defer the capital gains tax by rolling the proceeds into another property. **Ares runs a programme — the Ares Real Estate Exchange (AREX) — that lets an individual roll an appreciated building into Delaware statutory trust interests, and later into operating partnership units in an Ares REIT**, via Sections 1031 and 721. A subsidiary acts as dealer-manager.

Think about what that product is: it converts a private landlord's single illiquid building into a diversified institutional portfolio **without triggering a tax bill**. It is one of the most sophisticated wealth-channel products in the industry, it is sold through financial advisers to accredited investors, and it is invisible in every summary of Ares you will read. Combined DST share sales across the two Ares REITs were reported at **\$762.4m in 2023**.

DIFFERENTIATOR 09

The carried interest Ares gives away

Buried in the human capital section of the 10-K: Ares committed to donate a **minimum of 10% of the carried interest generated from Ares Pathfinder Fund I and Pathfinder Fund II**, and **5% of the incentive fees** from an open-ended core alternative credit fund, to global health and educational charities — contributed by the firm *and* its team members. Separately, the firm donates a portion of annualised realised net performance income from selected funds to the Ares Charitable Foundation, launched in 2021.

This is not generic corporate philanthropy. **Carried interest is the single most personally valuable form of compensation in this industry** — the partners' own upside. Committing a tenth of it, contractually, at fund formation, is a different order of commitment from a donations-matching scheme. And the Pathfinder funds are not a side-show: Pathfinder III closed at \$8.5bn in June 2026, oversubscribed above a \$6.5bn target.

SAY THIS — ESPECIALLY ON A VALUES OR CULTURE QUESTION

"The thing that struck me reading the 10-K was the Pathfinder commitment — Ares gives away at least ten percent of the carried interest on those funds to global health and education charities, and that's contributed by the firm and the individuals. Carry is the partners' own money, so it's a more meaningful commitment than a CSR budget. And Pathfinder isn't small — the third fund closed at eight and a half billion this June, oversubscribed."

How to actually deploy these

Ranked by impact, with the situation each one is for.

THE RULE THAT MATTERS MORE THAN THE CONTENT

Use two. Never nine. A candidate who deploys one genuinely obscure fact, well-explained and clearly understood, reads as curious and rigorous. A candidate who lists nine reads as someone who was handed a briefing document. The point of knowing all of these is that you can pick the right one for whatever the conversation turns out to be — not that you recite them.

1 The AI paradox — your lead

Most current, most specific, hardest to fake. Use it on "why Ares now", "what interests you about the market", or any question about risk. It shows you follow the firm in real time rather than having read an overview.

2 The SMBC Japan arc — your "I did the work" story

Use it on "why Ares over a competitor" or if asked about strategy. It proves you connected documents six years apart, which is the single most impressive research signal available.

3 The redemption maths — your objection-handler

Use it the moment anyone raises private credit stress, outflows or the Bloomberg headlines. It is also the most *job-relevant* item here, because sizing a client's worry is literally the work.

4 Employee alignment — your values answer

\$3.6bn of employee money versus \$3.4bn of firm money. Use it on culture, "why not a competitor", or when asked what you would say to a sceptical investor.

5 Expense support + AREX — your role-specific answer

Both are about *distribution*. Use them on "why this team" to show you understand that the wealth channel is a built product, not a sales effort.

6 No central investment committee — your structural insight

Use it if asked how you would work with investment teams. Links the firm's design to your day-to-day.

7 Ivy Hill — your technical flourish

Only with someone who clearly knows the business. With a generalist interviewer it will land as showing off.

8 Pathfinder carry donation — your culture answer

Hold for a values, ESG or "what do you admire" question. Do not force it.

9 Eagle Football / Lyon — high risk, high reward

Only if the conversation is genuinely senior and going well, and only framed as "something I read and found instructive". Sourcing is trade press. If in doubt, leave it.

10.1 The one-paragraph version, if you only get one shot

"Two things made me want to work here rather than at a peer. The first is that Ares got hit hardest of the big managers on the AI-disruption thesis this year — the stock fell about a third in Q1 — and instead of putting out a reassuring note, it hired a top-three consultancy to spend nine weeks re-underwriting its own software book. The answer was eighty-six percent low risk, and medium-to-high comes out under one percent of firm-wide AUM. The second is smaller but says more: Ares employees have three point six billion dollars of their own capital committed to Ares funds, which is more than the firm itself commits. A firm that re-tests its own thesis and makes its people put their own money in is a firm whose products I'd be comfortable selling."

10.2 Three questions to ask them

Questions reveal more than answers. These are built from the research above and cannot be asked by someone who hasn't done it.

1. **"The 2025 letter said nearly half of your distribution partners carry only one Ares product. Is widening those relationships mostly a product-availability problem or a coverage problem?"** — shows you read the shareholder letter and understand the commercial constraint.
2. **"How has the AI-disruption narrative changed the conversations you're having with clients — is it coming up in diligence, or is it mostly a public-markets story?"** — current, role-specific, and genuinely interesting to someone in the seat.
3. **"With the Japan wealth push, does the SMBC relationship do the distribution, or is Ares building its own coverage there?"** — this one will likely surprise them.

Sources and honesty notes

Primary

DOCUMENT	USED FOR
Ares FY2025 Form 10-K filed 25 Feb 2026, CIK 1176948	Ivy Hill definition; employee and firm commitments (\$7.2bn / \$3.4bn / \$3.6bn); ownership percentages and share-class structure; "controlled company"; no centralised investment committee; 55 industries; fee tables including the J-REIT formula, 7.50% of NOI and 1031 programmes; expense support agreements; Pathfinder charitable commitment; venture capital and applied AI disclosure; key person provisions.
Ares Q1 2026 earnings call 1 May 2026	Software exposure (~6% of AUM, <8% of private credit AUM); the nine-week consultant review and 86/13/1 split; <2% of direct lending AUM and <1% firm-wide at medium-to-high risk; ~40% LTV; the 2% vs 24% traded-loan split; the redemption stress case (~1% of FPAUM); >95% of BDC investors not redeeming; Q1 figures (AUM \$644bn, FPAUM \$400bn, FRE \$454m, margin 42.4%); ASOF III and SDL III.
Ares Q2 2026 release and call	AUM \$671.3bn; FPAUM \$409.9bn; FRE \$491.1m; perpetual capital \$223.3bn; record \$36.4bn raised.
2025 Annual Shareholder Letter Form ARS, 21 Apr 2026	The seven 2026 priorities including Japan expansion and wealth product broadening; "asset-light balance sheet approach"; the single-product distribution partner statistic.
FY2026 proxy statement filed 21 Apr 2026	Carried interest participation policy and the expectation that professionals invest their own capital.
ARCC prospectus supplements Form 424B2, 2026	Ivy Hill AUM (\$16.3bn), 24 vehicles, ARCC's carrying value (\$2.6bn cost / \$2.8bn fair value), and the 2012 SEC exemptive relief.

Secondary

- **Ares / SMBC announcement, 30 March 2020** (Businesswire and trade coverage) — the 4.9% stake, \$384m, \$31.64 per share, and the three-pillar alliance covering distribution, investment and capital markets.
- **BofA financials conference remarks, 2026** — ~160 AI use cases evaluated, ~25 deployed; NDA review, AML/KYC, Salesforce optimisation for wealth sales; slowest organic headcount growth in over a decade; ~185 people supporting wealth; ~80 distribution relationships, about half single-product.
- **BootstrapLabs announcement and Dealroom** — acquisition closed 1 February 2024; became the Ares AI & Innovation Group; Wadstrom and Levy as co-heads; 30+ applied-AI portfolio companies.
- **CNBC, Bloomberg, TIKR, Private Equity Wire** — 2026 share price moves, the AI-disruption thesis, peer redemption comparisons, the European sports fund plan and the \$66bn→\$125bn wealth target.
- **Ares Real Estate Exchange materials and Ares REIT filings** — the DST/UPREIT structure under Sections 1031 and 721; CoStar for the \$762.4m 2023 DST sales figure.
- **Football and financial trade press** (Inside World Football, OneFootball, club statements, analysis blogs) — the Eagle Football / Olympique Lyonnais enforcement.

READ THIS BEFORE YOU QUOTE ANYTHING

- **Software percentages depend on the denominator.** ~6% of total AUM and <8% of private credit AUM come from the Q1 call. A February report put software at ~12% of the *direct lending book*; CNBC said <9% of private credit AUM. Always say which base you mean.
- **The consultant split is reported two ways** — 86/13/1 on the earnings call, 85/14/1 in some secondary coverage. Use the call's figures.
- **The redemption stress case is management's own scenario**, not an independent projection, and assumes zero inflows. Attribute it.
- **The Eagle Football account is trade press, not disclosure**, and figures conflict (€400m vs €425m loan; €250m vs \$250m demand). "Loan-to-own" is commentary. Do not assert a loss number.
- **The SMBC share-price multiple is my calculation**, not an Ares disclosure, and ARES has been volatile in 2026. Check the live price.
- **The Ivy Hill comparison to the Private Equity Group** is mine; the two are measured on the same AUM basis but are different kinds of business.
- **Ares reports Q3 2026 on 29 October 2026.** If you interview after that date, the AUM, FRE and fundraising figures here will be stale — check the release first. Management pre-announced expected Q3 realised net performance income of approximately \$10m, against \$9m a year earlier.

The five sentences worth memorising

1. Ares hired a **top-three consultancy for a nine-week review** of AI risk in its software book: **86% low risk**, and medium-to-high is **under 1% of firm-wide AUM**.
2. Ares bought **BootstrapLabs**, an applied-AI venture firm, in **February 2024** — it is now the **Ares AI & Innovation Group**.
3. Ares employees have **\$3.6bn** of their own capital in Ares funds — **more than the firm's own \$3.4bn**.
4. **SMBC's 5% stake is a distribution alliance from March 2020**, and it explains the 2025 GCP purchase and the 2026 Japanese wealth-product priority.
5. Redemptions at the **full 5% cap for a year with no inflows** would cost about **1% of fee-paying AUM** — against 17% annual growth.